

ACQLERATE

Defense Finance Cheat Sheets

4 tools that make defense money make sense — finally

Why Defense Finance Confuses Everyone

The Department of Defense operates on one of the most complex financial systems ever created. Multiple appropriation types, each with their own rules. A budget cycle that takes two years. Cost accounting standards that would make a CPA's head spin. And an alphabet soup of acronyms that seems deliberately designed to keep outsiders confused.

But here's the thing — underneath the acronyms and appropriations law, defense finance follows a logic that actually makes sense once you understand what problem each rule is solving. Color of money exists because Congress wants to control how money is spent. EVM exists because the government needs to know if programs are on track before they're finished. The PPBE cycle exists because you can't build an aircraft carrier on a one-year budget.

This pack gives you four tools that translate the complexity into plain English. Each one is designed to be a quick reference — something you keep open during meetings, reviews, and budget drills. No textbook theory. Just the information you need, when you need it.

Tool 1: Color of Money Decision Tree

What It Is

A visual decision tool that helps you determine which appropriation type to use for any given expense. In DoD, money isn't just money — it comes in different "colors" that can only be used for specific purposes.

THE ANALOGY

Imagine you have three bank accounts: one for home improvements, one for monthly bills, and one for groceries. You can't pay your electricity bill out of the grocery account — even if there's money in it. That's color of money. Mixing accounts isn't a bookkeeping error; in DoD it's an Anti-Deficiency Act violation — and people lose careers over it.

The Four Colors

Color	Full Name	Used For	Availability
RDT&E	Research, Development, Test & Evaluation	Developing new capabilities, testing prototypes	2 years

Procurement	Procurement	Buying production items, weapons systems, equipment	3 years
O&M	Operations & Maintenance	Running day-to-day operations, maintenance, services	1 year
MILCON	Military Construction	Building or renovating facilities over \$1M	5 years

What's Inside

- Decision Tree — a step-by-step selection guide that walks you through the question "what kind of money do I use for this?"
- Quick Reference Table — all appropriation types with periods of availability, authorized uses, and real-world examples.

How to Use It

Step 1 — Identify what you're trying to buy or fund.

Step 2 — Follow the decision tree — answer each question and it guides you to the right appropriation.

Step 3 — When in doubt, the Quick Reference Table has examples of what each color covers.

Step 4 — If you're still unsure, ask your resource manager — never guess on appropriations.

Tool 2: EVM Formulas Quick Reference

What It Is

A one-page reference card for Earned Value Management — the system DoD uses to measure whether a program is on track for cost and schedule. It's the universal language of defense program performance.

THE ANALOGY

EVM is like checking the fuel gauge AND the GPS at the same time. How much fuel you've burned (cost) tells you one thing. Where you actually are on the map (schedule) tells you another. EVM compares both to where you planned to be — and that comparison tells you whether you're heading for trouble.

Key Metrics in Plain English

Metric	Full Name	Plain English
BCWS	Budgeted Cost of Work Scheduled	What you planned to spend by now
BCWP	Budgeted Cost of Work Performed	What you actually earned (work completed)
ACWP	Actual Cost of Work Performed	What you actually spent
CV	Cost Variance (BCWP – ACWP)	Are you over or under budget?
SV	Schedule Variance (BCWP – BCWS)	Are you ahead or behind schedule?
CPI	Cost Performance Index (BCWP ÷ ACWP)	For every \$1 spent, how much work do you get?
SPI	Schedule Performance Index (BCWP ÷ BCWS)	How efficiently are you using time?
EAC	Estimate at Completion	Where are you headed if nothing changes?

What's Inside

- All major EVM formulas with plain-English definitions you can actually remember.
- Interpretation guide — what a CPI of 0.85 actually means for your program.
- "Pin to your wall" format — designed to be printed and kept within arm's reach.

How to Use It

Keep this open during any program review. When someone says "our CPI is 0.87" — find that on the reference card. It means for every dollar spent, you're only getting 87 cents of work. That's a cost overrun trend. If CPI drops below 0.90, you're in trouble — and historically, programs almost never recover once CPI dips below 0.85.

Tool 3: PPBE Cycle Quick Reference

What It Is

A one-page map of the Planning, Programming, Budgeting, and Execution cycle — the annual process through which DoD decides how to spend its money. If you've ever wondered why your funding request takes two years, this explains it.

THE ANALOGY

The PPBE cycle is like the DoD's annual household budget meeting — except it takes 2 years, involves Congress, and the decisions made this year affect programs 3–5 years from now. Understanding where you are in the cycle explains why your funding request got delayed, why your program office is in a budget drill, or why a new initiative can't start until FY28.

The Four Phases

Phase	What Happens	Key Products
Planning	Strategy and priorities are set. "What do we need to accomplish?"	National Defense Strategy, Strategic Guidance
Programming	Priorities become programs with resources. "How much for each program?"	Program Objective Memorandum (POM)
Budgeting	Numbers are refined for the President's Budget. "Show me the exact dollars."	Budget Estimate Submission (BES), President's Budget
Execution	Congress approves and money gets spent. "Now go execute."	Appropriations Act, Obligation/Expenditure tracking

What's Inside

- Full cycle timeline with phases mapped to the calendar year and key decision milestones.
- Major products at each phase — what documents matter and when they're due.
- Congressional timeline integration — how the appropriations process runs in parallel.

How to Use It

Find where you are in the calendar year. That tells you which phase you're in, what decisions are being made right now, and what you can and can't change about your program's funding. If you're in the Execution phase, the money is already decided — you're managing what you've got. If you're in the Programming phase, now is when you fight for next year's dollars.

Tool 4: Wrap Rate Calculator

What It Is

A calculator that shows you the fully-loaded cost of a contractor employee — what a defense company actually charges the government for one hour of a person's time, and why it's 2–3x their actual salary.

THE ANALOGY

If you hire someone at \$50/hour, you're not paying \$50/hour. You're paying their salary plus your share of their benefits, plus the office they sit in, plus a slice of the company's admin staff, plus a small profit margin. Wrap rate is that total number expressed as a multiplier. A 2.5x wrap rate means a \$50/hour employee costs the government \$125/hour.

The Four Layers of Cost

Layer	What It Covers	Typical Range
Direct Labor	Base salary / hourly rate	—
Fringe	Benefits — health insurance, retirement, paid leave	25–40%
Overhead	Facility costs, support staff, equipment	40–100%
G&A	Corporate overhead — executives, BD, legal, HR	10–25%
Fee / Profit	The contractor's margin	5–10%

What's Inside

- Wrap Rate Calculator — enter your base rates, and the fully-loaded cost calculates automatically.
- Rate Comparison table — typical wrap rates by contractor type: large prime, mid-tier, small business, and SETA.
- Instructions tab explaining each rate component and where to find your company's actual rates.

How to Use It

- Step 1 — Enter your labor category's hourly rate in the blue cells.
- Step 2 — Enter your indirect rates (fringe, overhead, G&A) — these come from your accounting system or disclosed rates.
- Step 3 — The loaded rate calculates automatically. This is what the government actually pays.
- Step 4 — Compare against the Rate Comparison tab to see if your rates are competitive for your company type.

Quick Reference Card

Keep this page handy. It's a one-page summary of the key concepts across all four cheat sheets — the stuff that comes up in every meeting, review, and budget drill.

The 4 Colors of Money

- RDTE:** Research & development. New capabilities. 2-year money.
- Procurement:** Buying production systems and equipment. 3-year money.
- O&M:** Day-to-day operations, maintenance, services. 1-year money — use it or lose it.
- MILCON:** Building or renovating facilities over \$1M. 5-year money.

EVM Thresholds to Know

Indicator	Value	What It Means
CPI below 0.90	Trouble	You're spending more than planned per unit of work. Cost overrun trend.
CPI below 0.85	Serious trouble	Programs almost never recover once CPI drops this low.
SPI below 0.90	Schedule risk	You're behind schedule. Work is not getting done as planned.
CPI or SPI above 1.0	On track (or ahead)	You're getting more work per dollar/per time period than planned.

PPBE Phases in Plain English

Planning: "What do we need?" — strategy and priorities.

Programming: "How much for each program?" — the POM.

Budgeting: "Show me the exact dollars" — the President's Budget.

Execution: "Go spend it wisely" — obligation and expenditure tracking.

Typical Wrap Rate Ranges

Contractor Type	Typical Wrap Rate	Notes
Large Prime	2.5x – 3.2x	Higher overhead, more corporate infrastructure
Mid-Tier	2.2x – 2.8x	Moderate overhead structure
Small Business	1.8x – 2.4x	Lower overhead, but rates vary widely
SETA / FFRDC	2.0x – 2.6x	Non-profit or quasi-government support

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